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Advancing operational excellence for social good

USAID Standard Provisions

Mandatory

Required as applicable

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Overview

Mandatory Standard Provisions

Apply to all awards

Required as Applicable Standard Provisions

Only some provisions apply to awards; your agreement must state which apply

- Many provisions must flow down to sub recipients
- Standard Provisions are applicable in addition to the 2 CFR 200 and 2 CFR 700
- Check your award terms for references to applicability

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Comparison of sample of regs for US/Non-US organizations

US Based Organizations	Non-US Based Organizations
2 CFR 200/700 Financial management Cost share Budget revisions Procurement Program income Record retention Marking	
Mandatory Standard Provisions for US organizations M8 – Eligibility of commodities/services M13 – Marking	**Mandatory Standard Provisions for non-US organizations** M1, M2 – Financial management M2 – Record retention M3 – Budget revisions M5 – Procurement M6 – Eligibility of commodities/services M9 – Marking
Required as Applicable Standard Provisions for US organizations RAA10 – Cost share	**Required as Applicable Standard Provisions for non-US organizations** RAA1, RAA2 – Financial management RAA15 – Cost share RAA16 – Program income

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Mandatory Standard Provisions for Non-US Organizations

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Financial Management

M1 – Allowable costs

- Non profit cost principles in 2 CFR 200 Subpart E
- Prior approval can be obtained for costs that are not clearly addressed in the cost principles

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Amendments, Revisions

M3 - Amendment of award, revision of budget

- Amendments in writing only by agreement Officer or designated official authorized to amend award
- **If specified in the award**, prior approval required for cumulative budget revisions that will exceed 10% of the total award amount
- Prior approval required for
  - ✓ Revisions between direct and indirect categories
  - ✓ Changes to construction line item

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Eligibility of Goods/Services

M6 – Eligibility of goods/services

- Does **not** apply to cost share
- Ineligible goods/services and ineligible suppliers – not allowed and exceptions require prior approval
- Default geographic code is 937
- If total procurement is less than $250,000, default geographic code is 935
- Requirements apply to subawards

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Question 8 Ineligible Items

Which of these items would be considered allowable commodity procurements to be charged to a USAID funded project?

- Closed circuit TV camera system as part of the security plan for a food distribution warehouse?
- Uniforms for the prison officers you are working with on a project to reduce HIV transmission in prisons?

Reference: Standard Provisions for Non-US Organization M6 USAID Eligibility Rules for Procurement of Commodities and Services. 2 CFR 200.457 Plant and security costs

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Answer

Ineligible Items

- Closed circuit TV camera system as part of the security plan for a food distribution warehouse? - **Yes, the CCTV is for security not for surveillance**
- Uniforms for the prison officers you are working with on a project to reduce HIV transmission in prisons? - **If it is the government issued uniforms, no as those are Items that support law enforcement . A project issued uniform would be ok**

Reference: Standard Provisions for Non-US Organizations M6 USAID Eligibility Rules for Procurement of Commodities and Services. 2 CFR 200.457 Plant and security costs

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Sanctions requirements

M14 – Sanctioned groups and individuals

- Prohibits transactions, provision of resources, or support to individuals and organizations sanctioned by the US government or the UN
- Applies to subawards and contracts
- Document how and when the screenings were performed and the results
- In each subaward prior approval request, confirm your organization has screened the subrecipient against the OFAC and U.N lists

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Terrorist Support Certification

- Each organization must sign a certification confirming that it:
  - Has not provided support or resources to individuals or organizations subject to terrorism sanctions
  - Will take reasonable steps to ensure that it does not provide support or resources to individuals or organizations subject to terrorism sanctions
- Does not apply to resources provided to beneficiaries unless the organization has reason to believe a beneficiary is subject to sanctions

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Required as Applicable Standard Provisions

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Payments

RAA1 – Payment – Advance

- Separate bank account NOT required
- Advances to be deposited in a *reputable* bank
- Advances must be for anticipated expenses at intervals as close as possible to actual expenses
- Advances can be requested via Forms SF-270, SF-425 or SF-1034
- At project end date unexpended funds to be *immediately* refunded to USAID

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Payments

RAA1 – Payment – Advance

- Paragraph f does not apply to advances to subrecipients
- Pass-through entity must issue advances to subrecipients according to paragraphs a, b, c, d, h
- Pass-through entity bears the risk of subrecipient advances

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Payments

RAA2 – Payment – Reimbursement

- Required bi-weekly, monthly or no later than quarterly
- Payment can be withheld for unallowable expenses
- Forms SF-1034, SF-270 or SF-425 can be used to report expenses and request reimbursements

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Indirect Costs

- Every organization has indirect costs
- Indirect costs are not directly assignable to a particular project but benefit the whole organization and its projects

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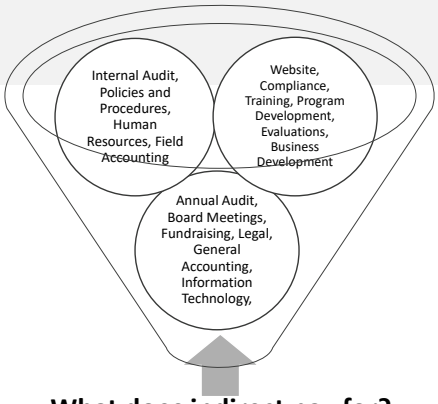

What does indirect pay for?

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Indirect Costs

RAA3 – NICRA

- Applicable to organizations that have a negotiated indirect cost rate agreement
- Organizations that did not previously have a NICRA with the US Government can submit an initial proposal no later than 3 months after receiving award
- Organizations that previously had a NICRA with the US Government must submit a new proposal within 6 months of receiving an award

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Indirect Costs

RAA4 – Indirect costs charged as fixed amounts

- Applicable to organizations that:
  - Do not have a NICRA
  - Do not use the 10% de minimis rate (2 CFR 200.414(f))
- All indirect costs budgeted to calculate the fixed amount
- Schedule of payments must be included in the award
- Fixed amount is charged according to the schedule regardless of the actual indirect costs

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Indirect Costs

RAA5 – Indirect costs – de minimis rate

- Indirect costs charged up to 10% of modified total direct costs
  - De minimis rate charged regardless of actual indirect costs
- Applies consistently to all Federal funding so should not be re-negotiated for each new award
  - Have a policy that X% is used for all Federal funding
- For Federal agencies other than USAID, 200.414(f) allows a 10% de minimis to be charged

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International Air Travel/ Transport

RAA9 – International air travel and transport

Previous requirement for prior approval has been eliminated

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International air travel/ transport

RAA9 – International air travel and transport

- **Fly America Act** requires travel on US flag carriers
- **Exceptions:**
  - ✓Use of non-US flag carriers of EU countries with Open Skies agreements
  - ✓Use of non-US flag carriers for travel to/from Australia, Japan, Switzerland if no "city pair fare" is in effect
- Provides other exceptions that may be used as exemption for using non-US flag carrier

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Question 9 International Travel

The Project Director is travelling from Nairobi, Kenya to the headquarters office in New York. The travel agent issues him a ticket on Kenya Airways. What are the requirements that he would need to comply with to be able to charge the costs to a USAID funded project?

Reference: Standard Provisions for Non-US Organizations RAA9 International Air Travel and Transportation

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Answer International Travel

The ticket would have to be issued on the US airline code share partner of Kenya Airways. If there is no US airline code share partner then he would have to document that there is no US airline on the route according to the exceptions to the Fly America Act.

Reference: Standard Provisions for Non-US Organizations RAA9 International Air Travel and Transportation

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Key Points – Standard Provisions

- Mandatory provisions always apply
- Be careful which "As Applicable" provisions are included in your award. Ensure only those that are appropriate are included

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Required as Applicable Provisions for US Non-Governmental Organizations

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Title to Property – Cooperating Country

RAA9 – Title to and care of property (cooperating country)

- Title to all equipment and supplies must be in name of cooperating country
- Recipient has custody until cooperating country directs disposition
- Recipient must obtain prior approval for plan to procure, use, maintain, safeguard items
- Prior approval is not required for disposition but a list of all items and their disposition must be reported within 90 days of project end

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See you at the next webinar

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